

complaint

Mr and Mrs L have complained about the decision of Royal & Sun Alliance Insurance Plc (RSA) to decline their claim under their home insurance policy after they suffered flood damage to their basement flat.

background

Mr and Mrs L had a flood in their basement flat. This was due to a rise in the level of the water table following heavy rain. They arranged for a contractor to carry out work in response to this. They made a claim to RSA for the cost of this work. RSA declined the claim. It said although Mr and Mrs L were covered for any loss or damage caused by the flood, according to the contractor's invoice the only work carried out was preventative and therefore not covered under the policy.

Mr and Mrs L complained that the work included repairs to a damaged wall and the floor, as well as removal and storage of items. After speaking to the contractor to clarify the work carried out, RSA maintained its position.

Mr and Mrs L were unhappy at this and referred a complaint to this service. They provided further photographic and video evidence along with a further letter from the contractor concerning the work carried out.

Our adjudicator recommended that the complaint should be upheld in part. He thought, in view of the disagreement, RSA should have carried out a site visit to establish the nature of the work carried out and to determine what amount, if any, was payable under the policy. He thought it should now do this.

RSA didn't accept the adjudicator's findings. It felt it had dealt appropriately with the claim. It said given that repairs had already been carried out, a site visit wouldn't show anything useful.

In view of the continued disagreement, the matter has been passed to me for a decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I uphold this complaint in part. I shall explain why.

I agree with RSA that the policy covers Mr and Mrs L for loss and damage as a result of flooding. It doesn't cover them for work carried out to prevent flooding. Nor does it cover the removal and storage of items to prevent these items being damaged by flooding or to enable preventative work to be carried out.

I also agree with RSA that it initially appeared from the claim form and the contractor's invoice that no part of the claim related to loss or damage caused by the flood. Instead, it appeared that the contractor had only carried out preventative work, namely the laying of a drain.

Mr and Mrs L maintained that damage had been caused by the flood itself and provided a photograph in evidence. I think it is difficult to tell from that photograph exactly what damage,

if any, has been caused by the flood. However, in light of Mr and Mrs L's continued protests, RSA agreed to try and contact the contractor for clarification. I think this was the right course of action.

RSA eventually managed to speak to the contractor by telephone. The contractor confirmed the only work it carried out was the preventative work and making good the damage it had caused in carrying out this work. On this basis, RSA continued to decline the claim.

However, I note that in the course of the telephone call, the contractor mentioned that the flood had caused damage in the corner of the room where it was entering the property. He said the pressure of the water had caused "a decent sized hole".

My understanding from the telephone call is that there was flood damage to Mr and Mrs L's property. But because the contractor caused further damage in this area while laying the drain, he made good all the damage including the original flood damage.

In light of the above, I think that part of Mr and Mrs L's claim is payable albeit, as seemingly conceded by the contractor in his most recent letter, the amount is not likely to be significant. I think RSA had the opportunity to probe this when it spoke to the contractor over the telephone but failed to do so. In the circumstances, I think RSA should now take further steps to determine the amount payable to Mr and Mrs L, whether this is by assessing further photographic and video evidence they have available, speaking again to the contractor and/or carrying out a site visit.

my final decision

My final decision is that I uphold this complaint in part. I require Royal & Sun Alliance Insurance Plc to take further steps as outlined above to determine the amount payable to Mr and Mrs L under their policy.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs L to accept or reject my decision before 24 February 2017.

David Poley
ombudsman